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2027 CYCLE

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CUET UG

Economics

Determination of Income and Employment

Official Syllabus · Course II: Introductory Macroeconomics · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Economics syllabus 2026, the current 2027 baseline, Course II)	Skills the questions test
Aggregate demand and its components	Aggregate demand and its components	Breaking AD into C and I (plus G and net exports in the full model), and using planned (ex-ante) values.
Income determination in a two-sector model	Determination of income in two sector model	Solving equilibrium income from the consumption function, via both AD = AS and S = I.
Gaps and their correction	Problems of excess demand and deficient demand; measures to correct them — changes in government spending, taxes and money supply; multiplier mechanism	Diagnosing inflationary and deflationary gaps against full employment, prescribing the right lever, and computing multiplier effects.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Economics paper follows NCERT Class 12 Economics; this unit is Keynes's own — the multiplier numerical and the gap-diagnosis questions are reliable scorers once the consumption function and the 1/MPS rule are automatic.

Aggregate Demand and Its Components

Aggregate demand (AD) is the TOTAL planned spending on final goods and services in an economy during a year — the whole nation's shopping list, added up before the shopping begins. "Planned" (ex-ante) is the operative word: the model runs on intentions, because intentions drive production decisions.

Component	Who spends, on what	Behaviour in the model
C — Consumption	Households buying food, clothes, phones, services	The biggest and steadiest slice; rises with income but by less
I — Investment	Firms buying NEW machines, buildings; change in inventories	Small but volatile; treated as AUTONOMOUS (independent of income) in the two-sector model
G — Government spending	Government buying roads, defence, services	A policy lever — the subject of the next unit
(X − M) — Net exports	Foreigners' buying minus our imports	Added in the four-sector model

- **Two-sector focus:** with only households and firms, AD $= C + I$ — consumption plus investment. G and (X − M) wait for later units.
- **Ex-ante vs ex-post:** ex-ante = PLANNED values; ex-post = ACTUAL values. Equilibrium is where planned spending equals actual output — unplanned inventory change then equals zero.
- **Investment's autonomy:** in this model, I does not depend on Y. Firms invest based on expectations — a constant ₹40 crore whether income is 500 or 900. This makes the AD line parallel to the C line.

Consumption, Savings and the Propensities

Consumption grows with income — but not one-for-one. Earn ₹1,000 more and you might spend ₹800 of it; the leftover ₹800's complement, ₹200, is saved. That split is the engine of everything in this unit.

THE CONSUMPTION AND SAVINGS FUNCTIONS

$C = |c| + bY \qquad S = -|c| + (1-b)Y$

Letters: $|c|$ = autonomous consumption (survival spending even at zero income) · b = MPC (slope) · Y = income · the saving line mirrors it because $Y = C + S$.

Always true: MPC + MPS = 1 (each extra rupee is split between consuming and saving). Also APC + APS = 1 at every income level.

THE PROPENSITY TABLE — EVERY COLUMN EXPLAINED

Take $C = 100 + 0.8Y$ (so MPC = 0.8, MPS = 0.2):

Y	C = 100+0.8Y	S = Y − C	APC = C/Y	APS	MPC	MPS
0	100	−100	—	—	0.8	0.2
200	260	−60	1.3	−0.3	0.8	0.2
500	500	0	1.0	0.0	0.8	0.2
700	660	40	0.94	0.06	0.8	0.2
1000	900	100	0.9	0.1	0.8	0.2

- **Breakeven income (₹500):** C = Y exactly — savings zero, APC = 1. Below it, the household DISSAVES (C > Y, S negative — borrowing or eating into past savings).
- **MPC constant at 0.8** (the slope never changes), while APC falls as income grows — the two are NOT the same thing. MPC compares changes; APC compares levels.
- **Savings check:** S = −100 + 0.2Y gives the same column: at 700, S = −100 + 140 = 40 ✓

Determination of Income in a Two-Sector Model

Firms produce what they EXPECT to sell. If planned spending exceeds output, inventories shrink — firms produce MORE, income rises. If spending falls short, unsold stock piles up — production CUTS, income falls. Income settles where the two sides agree: planned spending = output.

THE TWO EQUILIBRIUM TWINS

View 1 (spending): AD = AS i.e. $C + I = Y$

View 2 (leakage): $S = I$ planned saving exactly funds investment

Same Y*, two doors. Solve algebraically: $Y = C + I = |c| + bY + I \rightarrow Y(1-b) = |c| + I \rightarrow Y* = \frac{|c|+I}{1-b}$

SOLVE THE EQUILIBRIUM — FULL WORKING

$C = 100 + 0.8Y$ and autonomous $I = 40$.

- **Door 1 (AD = AS):** $Y = 100 + 0.8Y + 40 \rightarrow Y - 0.8Y = 140 \rightarrow 0.2Y = 140 \rightarrow Y* = 700$
- **Check by spending:** at Y = 700, C = 100 + 560 = 660; AD = 660 + 40 = 700 = output ✓
- **Door 2 (S = I):** $S = -100 + 0.2Y$; set $S = 40$: $-100 + 0.2Y = 40 \rightarrow 0.2Y = 140 \rightarrow Y* = 700$ ✓
- **Both doors agree — Y* = ₹700 crore.** At any other Y, unplanned inventory changes push income back toward 700: the equilibrium is stable.

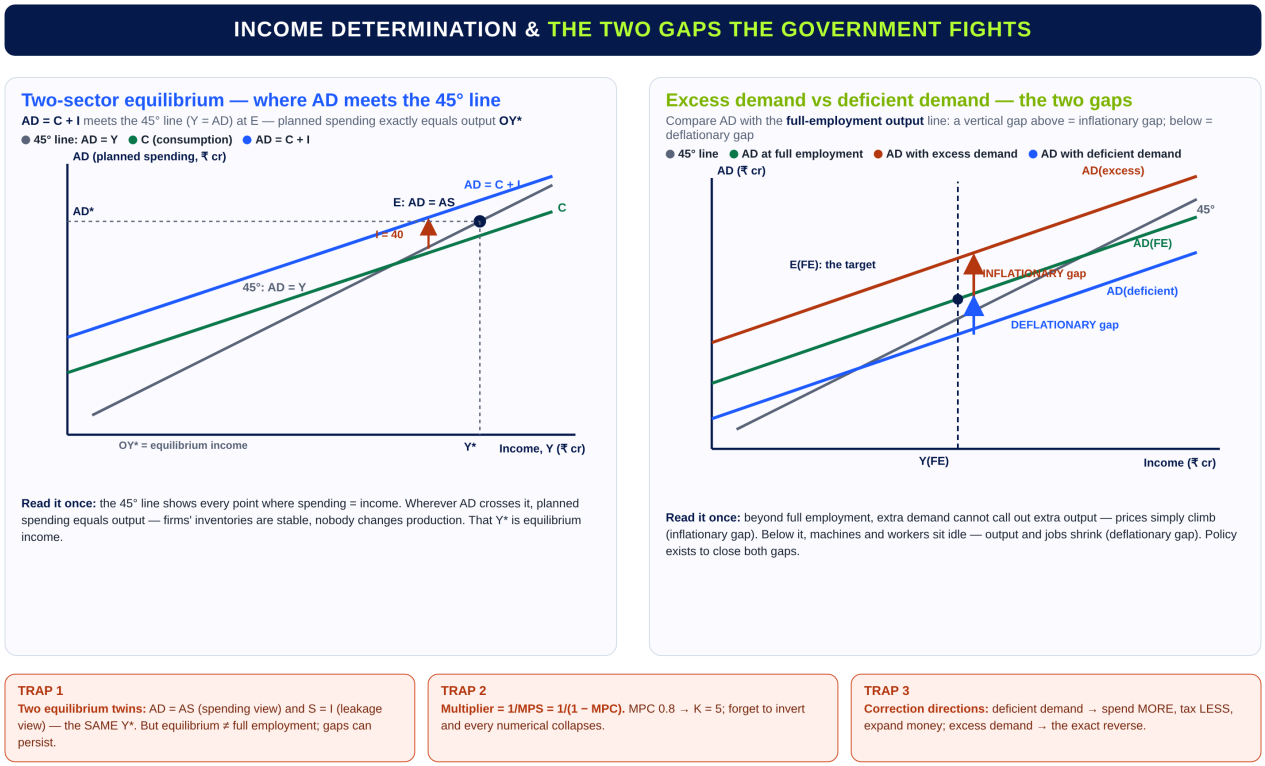


Figure 1: Income determination (left): AD = C + I crosses the 45° line at E, fixing equilibrium income OY*. The two gaps (right): AD measured against full-employment output gives the inflationary gap above or the deflationary gap below.

The Multiplier: Small Spending, Big Ripple

One firm's ₹100 of new investment does not stop at ₹100. The machinery supplier earns ₹100 and spends most of it; the shopkeeper who receives THAT spends most of it again. Income ripples outward, shrinking each round by the savings leak — and the total ripple is a clean multiple of the original splash.

THE INVESTMENT MULTIPLIER

$$K = \frac{1}{1 - \text{MPC}} = \frac{1}{\text{MPS}} \qquad \Delta Y = K \times \Delta I$$

MPC 0.8 → K = 5 · MPC 0.75 → K = 4 · MPC 0.9 → K = 10. The bigger the MPC (smaller the leak), the longer the ripple survives.

THE RIPPLE — ₹100 BECOMES ₹500

MPC = 0.8; new investment ΔI = ₹100 crore.

Round	Income rises by (₹ cr)	Of which re-spent (MPC = 0.8)
1	100	80

Round	Income rises by (₹ cr)	Of which re-spent (MPC = 0.8)
2	80	64
3	64	51.2
4	51.2	41
…	…, each 80% of before	…
Total	500	400

- **Total:** $\Delta Y = 100 \times (1 + 0.8 + 0.64 + ...) = 100 \times \frac{1}{1-0.8} = 100 \times 5 = ₹500$ crore
- **The geometric series is the whole story:** each round passes on 80% and leaks 20%; the infinite sum is $1 \div 0.20 = 5$.
- **Read it backwards:** if income ROSE by ₹500 after a ₹100 investment push, the economy's MPC must have been 0.8 — multiplier questions often run in reverse.

Excess Demand and Deficient Demand: The Two Gaps

Equilibrium income is where the economy RESTS — not where it SHOULD be. Full-employment output Y(FE) is the maximum sustainable production with all resources busy. Compare the two and one of two gaps appears.

- **Excess demand (inflationary gap):** AD sits ABOVE full-employment output. The economy wants to buy more than it can possibly produce — beyond Y(FE), extra demand cannot call out extra goods, so PRICES climb: pure demand-pull inflation. The gap is the vertical distance by which planned spending exceeds output at Y(FE).
- **Deficient demand (deflationary gap):** AD sits BELOW full-employment output. Machines idle, workers jobless, income below potential — the economy operates inside its production frontier. Deflationary pressure builds; the gap is the shortfall of planned spending below output at Y(FE).
- **The key insight (Keynes's own):** the market does NOT self-correct quickly to full employment. Equilibrium below Y(FE) can persist — deflationary gaps need POLICY, which is why the next section exists.

Correcting the Gaps: The Policy Levers

Three levers move AD: government spending, taxes, and money supply. The prescription is mirror-image for the two gaps.

Gap	Fiscal: government spending (G)	Fiscal: taxes (T)	Monetary: money supply
Deficient demand (deflationary gap)	INCREASE public spending — new projects inject demand directly	CUT taxes — households and firms keep more to spend	EXPAND — cheaper credit (lower repo, lower CRR, RBI buys securities)
Excess demand (inflationary gap)	CUT public spending — withdraw demand at the source	RAISE taxes — squeeze disposable income	CONTRACT — costlier credit (higher repo, higher CRR, RBI sells securities)

- **Why G is the strongest lever:** every rupee of government spending enters AD directly AND triggers the full multiplier — a ₹100 crore project with MPC 0.8 lifts income by ₹500 crore.
- **Why taxes work by detour:** a tax cut of ₹100 raises disposable income by ₹100, but first-round spending is only MPC × 100 = ₹80 — the tax multiplier is weaker than the spending multiplier.
- **The monetary lever (RBI):** expanding money supply lowers interest rates, cheapens loans, and lifts C and I; contracting does the reverse. Details wait for the policy unit — here, know the DIRECTION.

Key Formulas & Rules: One-Stop Revision

INCOME AND EMPLOYMENT — EVERY RULE ON ONE PAGE

Rule	Statement	When to use it
Two-sector AD	$AD = C + I$	Model setup; I is autonomous
Consumption function	$C = \|c\| + bY$	Read $\|c\|$ as autonomous, b as MPC
Savings function	$S = -\|c\| + (1-b)Y$	Mirror of consumption
Propensity identity	$MPC + MPS = 1$ and $APC + APS = 1$	Complete any table row
Breakeven	$C = Y$, $S = 0$, $APC = 1$	Locate the no-saving income
Equilibrium (spending)	$Y = C + I \rightarrow Y* = \frac{\|c\|+I}{1-b}$	Solve directly

Rule	Statement	When to use it
Equilibrium (leakage)	Planned S = I	Second door; same Y*
Multiplier	K = 1/MPS = 1/(1 − MPC); ΔY = K × ΔI	Every ripple numerical
Inflationary gap	AD above output at Y(FE) → prices climb	Diagnose against full employment
Deflationary gap	AD below output at Y(FE) → jobs shrink	Unemployment diagnosis
Fix deficient demand	Raise G, cut T, expand money	Direction of all three levers
Fix excess demand	Cut G, raise T, contract money	Mirror prescriptions

Common Errors & Special Cases

THE TRAPS THIS UNIT SETS — READ BEFORE THE MOCK

The rule you assume	The twist	The trap in the question
"MPC and APC are interchangeable"	MPC compares CHANGES (slope); APC compares LEVELS (ratio) — APC falls as Y grows	Table-reading MCQs
"Multiplier = MPC"	K = 1 ÷ MPS = 1 ÷ (1 − MPC) — invert! MPC 0.8 gives 5, not 0.8	Every multiplier numerical
"Equilibrium = full employment"	Equilibrium is where the economy RESTS — it can sit below Y(FE) with idle resources	Gap-diagnosis questions
"Savings are always positive"	Below breakeven income households DISSAVE (S negative)	S-column numericals
"Investment includes share purchases"	I means NEW capital goods + inventory change only	Component-sorting MCQs
"Excess demand raises output"	Beyond Y(FE) output CANNOT rise — only prices do	Inflationary-gap logic

The rule you assume	The twist	The trap in the question
"Tax cut boosts AD like G does"	Tax cuts work through MPC (first round ₹80 of ₹100); G enters directly (full ₹100)	Lever-strength comparison
"Both gaps need the same medicine"	They are mirror opposites — read the gap before prescribing	Policy-direction MCQs

The 60-Second Self-Test

Cover the answers, say each one aloud, then check. If any answer takes longer than ten seconds, revisit that section.

- **MPC = 0.9.** Multiplier? → K = 1 ÷ 0.1 = 10 — small leaks make giant ripples.
- **C = 50 + 0.75Y, I = 25.** Equilibrium Y? → Y = (50 + 25) ÷ 0.25 = 300.
- **ΔI = ₹200 cr, MPS = 0.25.** ΔY? → K = 4, so ΔY = ₹800 crore.
- **Income ₹400, C = ₹360.** APC and S? → APC = 0.9; S = 40; APS = 0.1.
- **AD exceeds output at Y(FE) by ₹50 cr.** Name the gap and its symptom. → Inflationary gap; prices climb, output cannot.
- **Deficient demand strikes.** The three-lever prescription? → Raise G, cut taxes, expand money supply.

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The Whole Chapter in One Picture

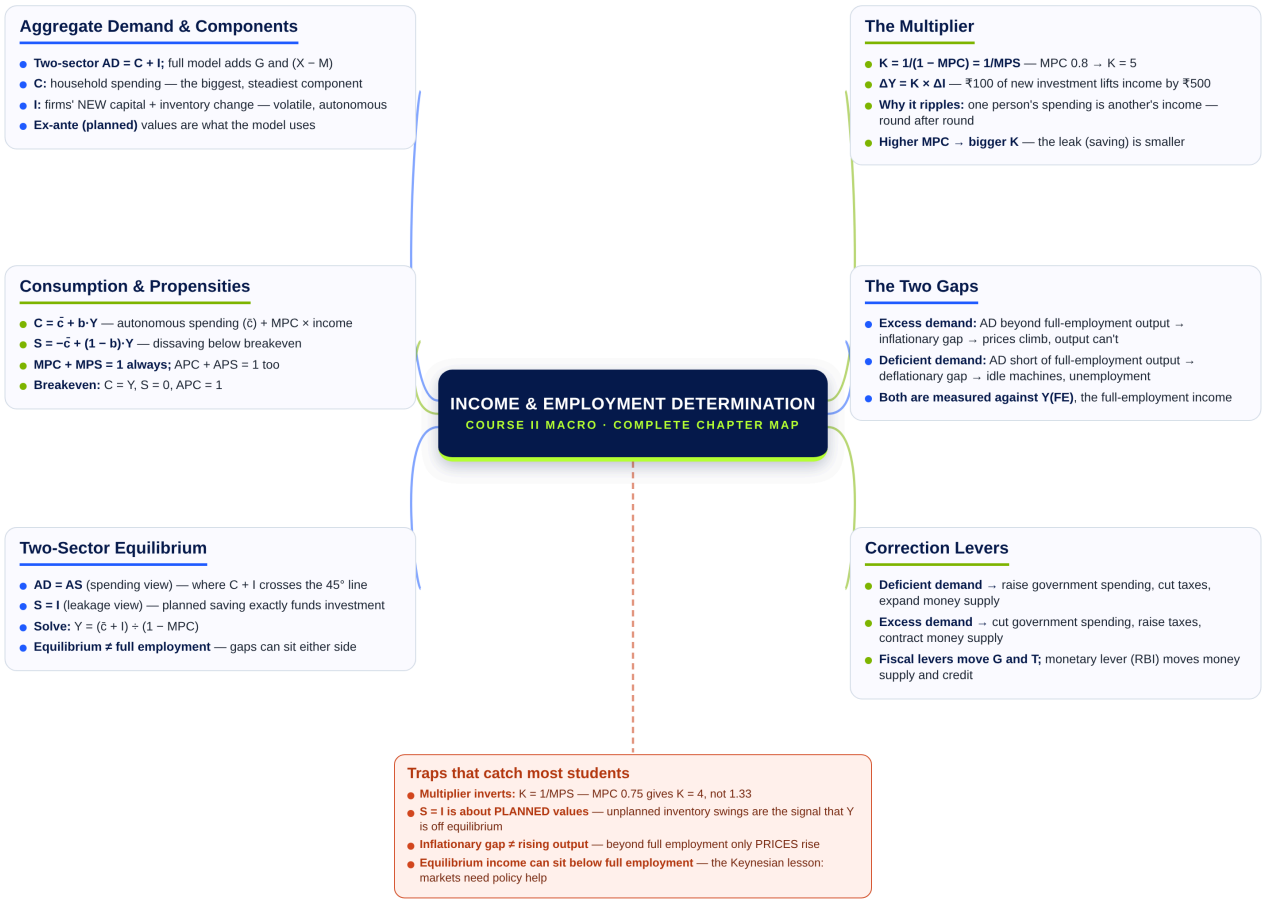


Figure 2: Chapter mindmap: AD and its components, the propensity table, the two equilibrium doors, the multiplier, the two gaps against full employment, and the three correction levers — with the traps that catch most students.

Practice Questions (Exam Pattern)

Ten questions in the CUET UG style. Attempt all of them — the paper gives +5 for each correct answer and −1 for every incorrect answer.

Q1. In a two-sector economy, aggregate demand equals:

(A) C + G (B) C + I
(C) C + S (D) I + G

Q2. If MPC = 0.75, then MPS equals:

(A) 0.75 (B) 1.75
(C) 0.25 (D) 1.33

Q3. Equilibrium income is determined where:

(A) C = I (B) S = C
(C) AD = AS (equivalently planned S = I) (D) I = 0

Q4. Consumption is C = 50 + 0.8Y and investment is 20. Equilibrium income is:

(A) ₹250 **(B)** ₹300
(C) ₹350 **(D)** ₹500

Q5. If MPC = 0.9, the investment multiplier is:

(A) 0.9 **(B)** 9
(C) 10 **(D)** 1.11

Q6. An increase in investment of ₹200 crore with MPS = 0.2 raises national income by:

(A) ₹200 crore **(B)** ₹400 crore
(C) ₹1,000 crore **(D)** ₹40 crore

Q7. An inflationary gap arises when:

(A) AD falls short of full-employment output **(B)** AD exceeds full-employment output
(C) S exceeds I at all incomes **(D)** the multiplier is less than 1

Q8. To correct DEFICIENT demand, the government should:

(A) reduce public expenditure **(B)** increase taxes
(C) increase public expenditure and cut taxes **(D)** do nothing — the market self-corrects instantly

Q9. At the breakeven income level:

(A) consumption exceeds income **(B)** saving is at its maximum
(C) consumption equals income and saving is zero **(D)** APC is zero

Q10. The multiplier mechanism works because:

(A) the government prints matching money **(B)** one person's spending becomes another's income
(C) prices fall continuously **(D)** investment is always negative

Detailed Solutions

Each solution shows the working, not just the verdict — cover the answer line, attempt the reasoning, then compare.

Sol. Q1. With only households and firms, planned spending has two parts: consumption by households and investment by firms. G and net exports belong to bigger models.

Answer: (B)

Sol. Q2. Every extra rupee splits between consuming and saving: MPC + MPS = 1. So MPS = 1 − 0.75 = 0.25 — the saving leak is a quarter of each new rupee.

Answer: (C)

Sol. Q3. Income rests where planned spending equals output — and equivalently where planned saving (the leak) equals investment (the injection). C = I and S = C have no economic meaning here.

Answer: (C)

Sol. Q4. Y = C + I: Y = 50 + 0.8Y + 20 → 0.2Y = 70 → Y = 350. Check: C = 50 + 280 = 330; AD = 330 + 20 = 350 ✓

Answer: (C)

Sol. Q5. K = 1 ÷ (1 − MPC) = 1 ÷ 0.1 = 10. Option D forgot the subtraction; option B forgot to invert.

Answer: (C)

Sol. Q6. K = 1 ÷ MPS = 1 ÷ 0.2 = 5; ΔY = K × ΔI = 5 × 200 = ₹1,000 crore. The leak (saving) is one-fifth, so five rounds of ₹200 recover the whole.

Answer: (C)

Sol. Q7. The inflationary gap is the EXCESS of planned AD over full-employment output — demand outruns what the economy can produce, so prices rise with output pinned at Y(FE).

Answer: (B)

Sol. Q8. Deficient demand needs an AD BOOST: more government spending injects demand directly, tax cuts free household income to be spent. Cutting G or raising taxes would deepen the deflationary gap.

Answer: (C)

Sol. Q9. Breakeven is where the consumption line crosses the 45° line: C = Y, so saving S = Y − C = 0 and APC = 1 exactly. Below it, dissaving; above it, saving begins.

Answer: (C)

Sol. Q10. The supplier of the new machinery earns ₹100 and re-spends most of it; that spending becomes the shopkeeper's income, and so on, round after round. The chain of incomes IS the multiplier.

Answer: (B)

Wrong-Answer Clinic — the one-line corrections

Dropped marks above? Find your slip here and rewrite the corrected rule in your own words.

If you answered...	Your slip was...	The corrected rule, in one line
Q1 option A	Importing G into the two-sector model	Two sectors only: households + firms — AD = C + I until government enters
Q2 option D	Dividing instead of subtracting	MPS = 1 − MPC = 0.25 — the complement, never the reciprocal here
Q4 option B	Arithmetic slip in the equation	0.2Y = 70 gives 350 — recheck the subtraction of 0.8Y from both sides
Q5 option B	Forgetting to invert	K = 1 ÷ (1 − MPC) = 10 — the multiplier is always at least 1
Q7 option A	Flipping the two gaps	AD ABOVE full employment = inflationary; BELOW = deflationary — match the symptom to the side
Q8 option A	Prescribing austerity for a slump	Deficient demand needs MORE spending, not less — G is the direct lever
Q9 option A	Confusing breakeven with dissaving	Dissaving happens BELOW breakeven; AT breakeven C = Y and S = 0

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